

Before the  
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 22-20

MSRF Inc. v. HMM Company Ltd.

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**MOTION FOR SUMMARY DECISION**

Complainant MSRF, Inc. (“MSRF”), pursuant to 46 C.F.R. § 502.70, moves for a summary decision on Counts I, II, IV, and V<sup>1</sup> against HMM Company Ltd. (“HMM”), and states as follows:

**INTRODUCTION**

An award should be entered in favor of MSRF and against HMM in the amount of \$228,171.52. As a result of HMM’s failure to comply with its obligations under the relevant service contract by providing the required minimum quantity commitments, MSRF was forced to use other carriers at higher prices causing significant damage to MSRF. From May-December 2021, HMM only provided MSRF with 9 of 25 containers agreed in the service contract. While HMM claims that it fulfilled its obligations by later providing the necessary containers after this time period, MSRF was damaged by HMM’s failure to provide space when it needed it the most. No genuine issue of material fact exists and an award should be entered in favor of MSRF.

**PROPOSED FINDINGS OF FACT**

Please see separately filed Proposed Findings of Fact which is fully incorporated herein.

**STANDARD FOR SUMMARY DECISION**

The Commission has emphasized that [a]t the summary judgment stage, the role of the

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<sup>1</sup> MSRF is no longer proceeding on Count III (Violation of 46 U.S.C. 41104(a)(5)).

judge is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 249 (1986). The party seeking summary judgment has the burden of demonstrating that there is no genuine issue of material fact. *EuroUSA Shipping, Inc., Tober Group, Inc. and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations at 46 C.F.R. § 515.27*, 31 S.R.R. 540, 545 (FMC 2008). The party moving for summary judgment bears the initial burden of identifying evidence that demonstrates the absence of any genuine issue of material fact. *Green v. Dalton*, 164 F.3d 671, 675 (D.C. Cir. 1999) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986)). The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson*, 477 U.S. at 247-48. However, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted).

### **ARGUMENT**

HMM failed to perform under the service contract with MSRF which is a violation of various statutes by not providing the requisite number of forty-foot equivalent units (“FEU”) to ship cargo as provided in the service contract. Pursuant to 46 U.S.C. § 41102(c), “a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” A common carrier shall not: (2) provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a service contract, (9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or

disadvantage with respect to any port; and (10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier. 46 U.S.C. § 41104(a)(2), (9), and (10). The Shipping Act contains an implied private cause of action. *Maersk Line v. TJM Int'l Limited Liability Company*, 427 F. Supp. 3d 528, 533 (D.N.J. 2019).

MSRF is entitled to a reparation award for alleged actual injury resulting from violations of the Shipping Act and an award of attorney fees. “Actual injury” includes the loss of interest at commercial rates compounded from the date of injury. If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part. In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees. 46 U.S.C. § 41305.

MSRF’s written service contract with HMM included minimum quantity commitments (“MQC”) by MSRF to HMM to tender cargo from various places in Asia for HMM to transport via ocean vessels to the United States at agreed intervals and for agreed prices. Group Ex. A to Declaration of David Reich which is attached to the Appendix as **Exhibit 1**. By definition, the service contract required HMM to “commit[] to a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation, or similar service features.” In the May-December 2021 period, HMM breached its contractual service commitment, providing MSRF only 9 of 25 containers agreed in the service contract. (Declaration, ¶ 14).

MSRF also suffered damages as a result of HMM’s failure to comply with the terms of the service agreement which is a violation of the statutes. As set forth in the attached summary document, (Declaration, ¶16), MSRF suffered significant damages, which are the costs incurred in hiring other companies to provide vessel space for MSRF’s containers. HMM’s acts occurred

on a normal, customary, and continuous basis.

MSRF suffered further damages through HMM's refusal to provide space when requested by MSRF. The documents produced in discovery are replete with examples of this refusal to deal. For example, in email correspondence between MSRF and HMM requesting bookings from Kolkata, India to Montreal, Canada, HMM refused to provide space. (Declaration, ¶ 15).

Evidence, including summary evidence, is properly authenticated when a witness with knowledge testifies that the evidence is what it claims to be. Fed. R. Evid. 901(b)(1); *Alliant Tax Credit Fund 31-A, Ltd. v. Murphy*, 494 F. App'x 561, 572 (6th Cir. 2012). Pursuant to Fed. R. Evid. 1006, "[t]he proponent may use a summary . . . to prove the content of voluminous writings . . . that cannot be conveniently examined in court." Also, Rule 1006 (Fed. R. Evid. 1006) requires that a party offering a summary for admission "must make the originals or duplicates available for examination or copying, or both, by other parties at a reasonable time and place." *Alliant Tax Credit Fund 31-A, Ltd.*, 494 F. App'x at 572. An affidavit from a person with personal knowledge swearing to their personal knowledge of the calculation to the damages calculations must be attached. *Id. See also MTGLQ Investors, LP v. Wellington*, 2019 WL 4600196, at \*7 (D.N.M. Sept. 23, 2019) (granting summary judgment when business records were provided through a Rule 1006 summary). Here, MSRF made the underlying documents available to HMM through the discovery process. Additionally, MSRF has laid the foundation for the summary itself through a declaration as the underlying documents were kept in the ordinary course of business and how the damages were calculated. The total damages total \$1,768,328.68 but this includes damages for 124 containers that needed to be shipped using other carriers. As the minimum quantity commitment was only 25 containers and HMM only provided space for 9 containers, MSRF is only seeking damages for 16 containers. Taking \$1,768,328.68 divided by 124 and multiplying that by 9 is

\$228,171.52. Those are the damages sought by MSRF in this case.

WHEREFORE, MSRF, Inc. respectfully requests that the Administrative Law Judge of the Commission grant its Motion for Summary Decision on Counts I, II, IV, and V of its Complaint in the amount of \$228,171.52, for its attorney's fees and costs, and for all other relief this Court deems fair and proper.

Respectfully submitted,

CLARK HILL PLC

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## **CERTIFICATE OF SERVICE**

I certify that on April 21, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of August 22, 2022.

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